COVER MEMORANDUM

Loan No. CRE-2025-0342 — The Piedmont at Brightleaf — Material Issues and Inconsistencies in the Source Record, Recommended Resolutions, and Transmittal of the Draft Loan Agreement

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To: David Forsythe, Senior Vice President, Commercial Real Estate Lending, Pinnacle Savings Bank, N.A.
From: Katharine "Kate" Drummond, Partner; Marcus Webb, Associate — Ashford, Cromdale Consulting & Laine LLP
Copy: Senior Credit Officer; Senior Loan Committee file (Loan No. CRE-2025-0342)
Date: January 30, 2025
Re: The Piedmont at Brightleaf, 601 and 615 Foster Street, Durham, North Carolina 27701 — transmittal of the draft Construction-to-Mini-Permanent Loan Agreement and identification of material issues and inconsistencies across the source documents, with recommended resolutions
Enclosures: (1) Construction-to-Mini-Permanent Loan Agreement (draft of January 30, 2025), with Schedules 5.6, 9.2, 10.2 and 11.2 and Exhibits A through H; (2) this memorandum

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1. Purpose, Scope and Method

1.1 Deliverables

We have prepared the enclosed draft Construction-to-Mini-Permanent Loan Agreement (the "**Draft Agreement**") for the $47,500,000 loan (the "**Loan**") approved by the Senior Loan Committee on January 22, 2025. The Draft Agreement is drafted from, and is intended to implement, the executed Term Sheet dated January 10, 2025 (the "**Term Sheet**") and the conditions of approval in the Credit Memorandum dated January 22, 2025 (the "**Credit Memorandum**"), as those terms are informed (and in several places contradicted) by the appraisal, title, environmental, organizational and budget materials in the record.

This memorandum identifies each material issue and inconsistency we found in the record, explains why it matters, states the position the Draft Agreement takes, and recommends a resolution. It is organized so that each issue can be tracked to a specific provision of the Draft Agreement or to a specific closing delivery.

1.2 Source inventory

#	Document	Date / version	Author	How used
1	Executed Term Sheet (non-binding except §§22–23)	January 10, 2025	Pinnacle Savings Bank, N.A.	Primary statement of agreed business terms; economics in the Draft Agreement follow it except where noted
2	Senior Loan Committee Credit Memorandum	January 22, 2025	D. Forsythe	Conditions of approval; risk analysis; source of several new conditions not in the Term Sheet
3	Appraisal executive summary (187-page report referenced but not delivered)	November 15, 2024 (value date)	Ridgeline Appraisal Services Inc. (L. Haverford, MAI)	Values, NOI, unit mix, prior-project list, environmental description
4	Commitment for Title Insurance No. NC-2024-88712	Effective December 5, 2024	Aldersgate Title & Escrow Inc. (P. Langley)	Legal descriptions, Schedule B-I requirements, Schedule B-II exceptions, prior deed of trust, CC&Rs
5	Phase I ESA (excerpted sections only)	October 28, 2024	Sentinel Environmental Consulting LLC (J. Whitfield, P.E.)	REC, Phase II results, NFA conditions 1–4, remediation quantities and cost
6	Borrower organizational chart and Operating Agreement excerpts	January 2025 (OA amended through December 1, 2024)	Calloway & Strauss PLLC	Membership, capital contributions, management authority, supermajority thresholds, transfer restrictions

#	Document	Date / version	Author	How used
7	Construction budget and draw schedule workbook (Summary, Detailed Budget, Draw Schedule, Interest Reserve Analysis)	January 8, 2025	Harborview Capital Partners LLC	Budget by line item, funding allocations, draw schedule, interest reserve modeling

Documents referenced in the record but not delivered to us (and therefore not verified): the full 187-page appraisal; the Phase II report (Sentinel Project No. SEC-2024-1089); the NCDEQ No Further Action letter itself; the executed GMP Contract, Contractor's bonds and Contractor's financial statements; the Architect's Agreement; the Mezzanine Loan documents; the draft Intercreditor Agreement; the full Operating Agreement; the Borrower's financial statements supporting the stated $14,200,000 net worth; the Guarantors' tax returns; the ALTA/NSPS Survey; the flood determination; the payoff letter from Triangle Commercial Bank; and any evidence of recording of the Deed Notice required by the NFA Letter. Section 7 lists these as closing deliverables.

1.3 Method and conventions

We (a) inventoried the record and read each document in full; (b) built a source-to-issue log (Appendix A) recording where each material proposition, figure, date and obligation appears; (c) recomputed every stated total, ratio, threshold and date interval independently rather than adopting the source's arithmetic (Appendix B); (d) separated extracted facts, assumptions, legal characterizations, open questions and recommendations; and (e) drafted the instrument from the verified log, using defined terms consistently. Where the record is inconsistent, the Draft Agreement adopts a stated position, and this memorandum flags the conflict for resolution rather than silently choosing.

Citations. "TS §**" = Term Sheet; "CM §**" = Credit Memorandum; "App. §**" = Appraisal executive summary; "TC Sched. **" = Title Commitment; "ESA §**" = Phase I ESA excerpt; "Org §**" = organizational chart/operating agreement excerpts; "WB (sheet name)" = budget workbook.

2. Executive Summary

The Loan is a well-secured construction facility on a strong site with a capable sponsor, and the Credit Memorandum's credit conclusions are broadly supported by the appraisal. **However, the record does not currently support a closing.** Five findings are, in our view, closing-critical, and each requires a business decision by the Lender rather than a drafting fix:

1. **The $3,400,000 prior deed of trust has no source of funds and no line item in the Sources and Uses.** The Prior Deed of Trust in favor of Triangle

Commercial Bank (TC Sched. B-II ¶10; Book 6215, Page 892) must be released at closing for the Lender to obtain a first-priority lien. It appears nowhere in the $56,700,000 budget, the sources table, the draw schedule or the interest reserve. The record does not even fix the payoff amount: the Title Commitment states that no release is of record and that Borrower's counsel advised that the debt was "partially repaid," with the balance unverified.

2. **There is no true equity in the capital structure, and the "land equity" narrative is contradicted by the Borrower's own budget.** The Borrower's Detailed Budget allocates 100% of the $8,200,000 land cost and $1,000,000 of the Developer Fee to *mezzanine loan proceeds* and shows Borrower equity of **$0**. That is irreconcilable with TS §5.1 (equity of $0 but land shown as a use), CM §§2.2 and 5.1 (land as equity, funded by member capital calls), and Org §1.3 (land contributed personally by Ms. Vasquez-Torres at formation). On the Borrower's own numbers, senior and mezzanine debt equal 100% of Total Project Costs.

3. **The environmental land-use restriction has not been resolved, and two of the four NFA conditions are missing from every bank document.** The NFA Letter conditions the determination on four items. The Term Sheet (§17), the Credit Memorandum (§§8.2, 10.1.7) and the closing conditions address only two of them (the vapor mitigation system and the residential use restriction). The **Soil Management Plan** and the **Deed Notice** — which was required to be recorded on or before **November 29, 2024** and which the Phase I ESA states had *not* been recorded — appear nowhere in the Term Sheet, the Credit Memorandum, the budget or the Title Commitment.

4. **Mechanics' lien priority is impaired by pre-closing work.** Demolition (August 2024), environmental remediation (September 2024) and rough grading were performed before the Deed of Trust will be recorded. Under N.C.G.S. §44A-10 a claim of lien relates back to first furnishing, so those claimants could prime the Lender's lien. The Title Commitment's own Note 4 recommends an owner's affidavit that no labor or materials were furnished before recording — an affidavit that cannot truthfully be given on this site.

5. **The capital stack cannot service both tranches from property cash flow.** Stabilized NOI of $4,876,800 covers senior interest-only debt service of $3,728,750 (1.31x), but senior plus mezzanine interest of $1,150,000 to $1,509,000 produces combined coverage of **0.93x to 1.00x**. Neither the Term Sheet nor the Credit Memorandum tests combined coverage. The take-out therefore depends on refinancing, and the mezzanine balance grows to approximately $12.08 million (simple interest) to $12.55 million (monthly compounding) by the Construction Maturity Date.

Each of these is addressable, but each changes the economics or the closing timetable. We recommend the Lender commission revised deliverables before the February 28, 2025 target closing date and treat that date as soft.

3. Top-Risk Register

#	Issue	Source conflict	Exposure if unresolved	Recommended resolution	Where addressed
1	Prior Deed of Trust ($3,400,000) unfunded	TC Sched. B-I ¶4, B-II ¶10 vs. TS §5.1–5.2, CM §5.2, WB Detailed Budget	No first-priority lien; title cannot be issued; closing fails	Obtain payoff letter; add Refinancing Payoff to Total Project Costs ($60,100,000); require $3,400,000 verified third-party equity; confirm no Project funds reimburse members	Draft Agr. §§2.4, 11.2, 12.4; Sched. 9.2 ¶¶4, 8, 9
2	Zero true equity; land funded with mezzanine proceeds	Org §1.3 vs. CM §2.2 vs. WB Detailed Budget row 1.01 vs. TS §5.1	100% leverage; LTC 83.77% vs. 80% cap; moral hazard; HVCRE	Term Sheet amendment to require verified third-party equity; restate sources/uses; do not credit mezzanine as equity	§§2.4, 11.2–11.4, 11.7
3	Environmental use restriction; Deed Notice and Soil Management Plan omitted	ESA §§7, 10 vs. TS §17, CM §8.2/10.1.7	14 units may be unoccupiable; NFA jeopardy; NOI, DSCR and value deterioration	Closing conditions for all four NFA conditions; NCDEQ modification or redesign; PLL insurance; revised appraisal	§§19.2(a)–(d), 17.1(k); Ex. E; Sched. 9.2 ¶13
4	Mechanics' lien relation-back	TC Sched. B-II ¶4; Note 4; ESA §§2.2, 6.1	Liens prime the Deed of Trust	Final waivers from demolition/remediation/grading trades; ALTA 31 coverage	§12.6; Ex. D ¶1
5	Combined debt service coverage below 1.00x	Our recomputation vs. TS §4, §6.3; CM §6.1	Structural inability to service both tranches; no take-out	Combined DSCR covenant; mezz interest deferral or cap; cap agreement; take-out evidence	§§16.4, 8.6, 22.12; Ex. F(e)
6	Conflicting 100% membership pledges; OA supermajority gives the mezzanine principal a veto	TS §8, §1.4; CM §4.2, §9.4; Org §§1.2, 2.2, 2.5	No perfected first-priority pledge; Borrower cannot deliver the SPE amendments without Chen's consent	Intercreditor with first-priority pledge to Lender; member consents; fallback: drop pledge, rely on real property	§§12.2, 18.5, 22; Sched. 9.2 ¶¶4–6
7	Draw schedule and retainage do not foot	TS §9.2 vs. WB Draw Schedule vs. 10% holdback	Over-funding of hard costs; Retainage not actually withheld	Adopt Exhibit C; rebuild schedule; retainage $3,475,000	Ex. C and notes
8	Interest reserve shortfall	WB (3.50% SOFR, surplus $221,325) vs. CM §6.2 (shortfall $565,000)	Payment default during construction; cross-default to mezzanine	$400,000 cash deposit to reserve at closing; replenishment; SOFR cap at 5.00%	§§8.3, 8.4, 8.6

#	Issue	Source conflict	Exposure if unresolved	Recommended resolution	Where addressed
		vs. our recomputation ($362,000 at 4.35%)			
9	LTV over the Term Sheet's own 65% cap	TS §4, §6.2 (65%) vs. CM §6.1 (policy 70%, "Pass")	Loan $180,000 over the executed LTV limit	Reduce Loan to $47,320,000 or obtain a reappraisal	§16.1
10	Factual inconsistencies affecting credit and HVCRE	App. §3 (356 units) vs. CM §2.1 (580 units); four different land-acquisition narratives; $14.2M net worth unsupported	Misstated sponsor track record, equity and HVCRE analysis	Correct the record; obtain supporting documents	§14.1(e); §7 below

4. Detailed Issue Analysis

A. Capital Structure, Equity and Collateral

A-1. The Prior Deed of Trust is unfunded and the payoff amount is unknown

Finding. TC Sched. B-I ¶4 requires satisfaction and release of the deed of trust from Foster Street Properties LLC (as predecessor to the Borrower) to the trustee for Triangle Commercial Bank, dated September 14, 2018, recorded in Book 6215, Page 892, securing an original indebtedness of **$3,400,000**. TC Sched. B-II ¶10 confirms that no cancellation, release, satisfaction or subordination is of record, and notes that Borrower's counsel advised that the debt "has been partially repaid" and that the remaining balance "will be satisfied in full at or prior to closing from the Borrower's own funds or from closing proceeds," with the Company having "not independently verified the outstanding balance." The CM (§9.7) treats the obligation as $3,400,000 to be "satisfied at closing from the proceeds of the senior construction loan or from borrower funds."

Why it matters. Three independent problems: (i) **No source of funds.** The $56,700,000 Uses of Funds (TS §5.2; CM §5.2; WB Detailed Budget) contain no line item for the payoff. Adding it produces Total Project Costs of $60,100,000 against sources of $56,700,000 — a $3,400,000 gap. (ii) **No verified amount.** A payoff may exceed the original principal if interest, default interest, fees or prepayment premiums have accrued on a 2018 loan partially repaid. (iii) **Priority.** Without a recorded release (or an escrow arrangement with the title company), the Lender cannot obtain the first-priority lien that TC Sched. A and TS §18 require, and the Loan cannot close.

Recommended resolution. Require (a) a payoff letter dated within 30 days of closing, stating principal, accrued and per diem interest, fees and total payoff; (b) either a recordable cancellation/certificate of satisfaction under N.C.G.S. §45-37 or the title company's undertaking to record upon disbursement through escrow; (c) inclusion of the Refinancing Payoff as a line item in Total Project Costs; and (d) funding from **new third-party equity**, not from the Mezzanine Loan or any Chen/Brightleaf-affiliated source. Note the arithmetic consequence, which is favorable on one test and unfavorable on another: with the payoff included, Total Project Costs become $60,100,000, LTC becomes 79.03% ($47,500,000 ÷ $60,100,000) and the 80% LTC problem disappears — but the required equity rises from $2,140,000 to **$3,400,000** (and to $3,580,000 if the Loan is also reduced to cure the LTV overage in A-4). If the Borrower cannot produce $3.4 million of verified third-party equity, the only alternatives are to reduce the Loan or the project scope. **This is the single largest open item in the transaction.**

A-2. There is no equity in the capital structure; the "land contribution" is described three inconsistent ways

Finding. The record offers three incompatible accounts of how the land was acquired and funded:

- **Org §1.3**: the land "was originally acquired by Ms. Vasquez-Torres in a transaction funded from her personal resources and was subsequently contributed to the Borrower upon formation of the project entity," at a cost basis of $8,200,000; Brightleaf Investors Group LLC and Mr. Osei contributed **$0 cash to date**; total member equity to date is $8,200,000.
- **CM §2.2**: the land "was acquired by Ms. Vasquez-Torres on behalf of the Borrower through capital calls from all three members, including Brightleaf Investors Group LLC."
- **WB Detailed Budget, row 1.01**: the land is "funded by mezzanine loan proceeds and member capital calls," with **$8,200,000 allocated to the Mezzanine Loan** and $0 to equity.
- **TS §5.1**: "Borrower Equity (land previously acquired; see Uses below) **$0**."

Why it matters. The Sources and Uses in the Term Sheet balances only because the land appears as a $8,200,000 *use* while borrower equity appears as *$0* — i.e., the identity of the source that funded the land is omitted. If the land was in fact funded with mezzanine proceeds (as the Borrower's own budget states), then (i) there is no equity in the transaction before the equity escrow, (ii) the "embedded equity" mitigation in CM §9.1 ("the land has an appraised value of $8,900,000, which is $700,000 above acquisition cost") is unavailable because the same asset is pledged to, or was paid for by, the mezzanine lender, and (iii) the circular-funding concern that CM §§5.1 and 9.1 raise is not a risk to be evaluated — it is the documented structure. The Credit Memorandum's LTC analysis (83.77%) and its

HVCRE contributed-capital analysis (14.2%) both *credit* $8,200,000 of land as equity; that assumption is not supported by the budget the Borrower submitted.

Recommended resolution. Require the Borrower to reconcile the three accounts in writing, with documentary support (the 2023 closing statement, wire confirmations, member capital account ledgers, and the mezzanine loan disbursement schedule), and to present a conformed Sources and Uses in which the land appears consistently either (a) as an in-kind equity contribution at $8,200,000, in which case the mezzanine proceeds are *not* the source of the land and must be redeployed to other costs, or (b) as debt-funded, in which case neither the LTC nor the HVCRE analysis may credit it. Draft Agreement §11.2(b) requires a Lender-approved Closing Statement that resolves this; §11.3 requires source-of-funds verification; §11.7 records the HVCRE analysis on the assumption that the land may be credited, expressly subject to confirmation.

A-3. Loan-to-Cost: the 80% covenant, the $2,140,000 escrow, and why the escrow as described does not work

Finding. LTC is 83.77% ($47,500,000 ÷ $56,700,000) against an 80% maximum (TS §6.1; CM §5.3). The maximum loan at 80% is $45,360,000, a shortfall of $2,140,000. The CM (§5.3, §9.1, Condition 10.1.2) conditions approval on the Borrower depositing $2,140,000 in verified cash "into a Bank-controlled equity escrow account prior to or at closing," to be "applied to project costs first, ahead of loan advances, to bring the effective LTC into compliance."

Why it matters. As described, the mechanism is arithmetically ineffective. LTC is a ratio of *loan* to *costs*; funding $2,140,000 of costs from equity does not change the numerator or the denominator unless the Loan is correspondingly reduced or availability is permanently withheld. If the Loan still funds $47,500,000 and equity adds $2,140,000, total sources ($58,840,000) exceed Total Project Costs ($56,700,000) by $2,140,000 — money that has nowhere to go unless it is applied to the unfunded Triangle payoff (A-1) or to a reduced final advance.

Recommended resolution. Express the requirement as a borrowing base limitation, not as an escrow alone: aggregate Advances may not exceed the least of (a) the Commitment, (b) 80% of Total Project Costs, and (c) 65% of as-completed value (Draft Agreement §2.4(a)), with the Commitment permanently reduced by the amount of equity applied (§2.4(c)). Combined with the A-1 fix, the recommended end-state is: Total Project Costs $60,100,000; Commitment $47,320,000 (see A-4); LTC 78.74%; Required Equity Contribution $3,580,000, verified as to source.

A-4. Loan-to-Value: the Term Sheet's own 65% limit is exceeded, and the Credit Memorandum tests 70%

Finding. TS §4 and §6.2 state that the maximum LTV is **65%** on both an as-completed and an as-stabilized basis; TS §4 also computes and discloses an as-

completed LTV of **65.25%** — i.e., the Term Sheet is internally inconsistent on its face. CM §6.1 instead lists the Bank policy maximum as **70%** and records the LTV as "Pass." The Credit Memorandum does not note the 65% Term Sheet limit at all.

Why it matters. At 65%, the maximum Loan is $47,320,000 (0.65 × $72,800,000); the Loan exceeds that by **$180,000**. An executed term sheet that the Loan violates on its face is a poor foundation for a closing condition and, more practically, creates a documentary gap that will surface in credit review and any subsequent exam or sale.

Recommended resolution. Elect one: (a) reduce the Commitment to $47,320,000; (b) obtain an updated appraisal supporting an as-completed value of at least $73,076,923; or (c) document a policy exception and amend TS §4/§6.2 to 70%. We recommend (a) — it is the smallest change and eliminates the inconsistency. Draft Agreement §16.1 currently requires compliance "at or before Closing" by one of these three routes and discloses the 65.25% result.

A-5. Competing pledges of 100% of the membership interests, and a member veto over the cure

Finding. TS §8, TS §1.4, CM §4.2 and CM §9.4 all record that both the senior Loan and the Mezzanine Loan are "secured by a pledge of 100% of the membership interests in the Borrower." Org §2.5 confirms that the Operating Agreement contains no mechanism to resolve competing pledges and does not distinguish a senior from a mezzanine pledge. The Intercreditor Agreement has been "negotiated but is not yet executed" (TS §1.4; CM §4.4; Org §1.2).

Separately, and more consequentially: under Org §2.2, "Major Decisions" — including "any financing or refinancing of the Property in a principal amount in excess of $1,000,000" and "any amendment to this Operating Agreement" — require the affirmative vote of members holding **at least 75%** of the membership interests. Ms. Vasquez-Torres holds 62% and Mr. Osei 10% (72% together). **Brightleaf Investors Group LLC (28%) — whose managing member, Thomas R. Chen, also controls the Mezzanine Lender — therefore holds an effective veto over (i) the senior Loan itself, (ii) the Operating Agreement amendments that would add the SPE covenants and the independent manager, and (iii) the pledge of its own 28% interest to the senior Lender as first-priority collateral.**

Why it matters. The party whose affiliate is being subordinated is the party whose consent is a condition to the protections the Lender requires. If Chen declines, the Lender can neither obtain a first-priority membership pledge nor deliver the SPE/independent-manager package that CM §9.3 describes as "the single most important structural safeguard against a bad-faith bankruptcy filing." Additionally, Org §2.2 records a $500,000 single-expenditure approval threshold

that would, on its face, require member approval of nearly every construction draw.

Recommended resolution. (i) Make the fully executed Intercreditor Agreement — with first-priority pledge to the Lender and second-priority to the mezzanine — a hard closing condition (Draft Agreement §§22.1–22.9; Sched. 9.2 ¶4). (ii) Obtain executed member consents from all three members, together with a specific consent to the pledge and the irrevocable proxy (Draft Agreement §§12.2, 18.5 and the Acknowledgment and Consent of Members signature page). (iii) Obtain an amendment to Org §2.2 either eliminating the $500,000 expenditure threshold for expenditures within the Approved Budget or confirming that Approved Budget expenditures are pre-authorized. (iv) If the Intercreditor Agreement cannot be obtained, adopt the CM §9.4 alternative — drop the membership pledge and rely on the real property collateral — but note that this also eliminates the Lender's ability to take control of the Borrower in a default, which is precisely the tool the CM identifies as valuable in a construction context.

A-6. HVCRE: the contributed-capital analysis depends on the same unverified land premise

Finding. CM §12 computes contributed capital of $10,340,000 ($2,140,000 equity escrow + $8,200,000 land) as 14.2% of the $72,800,000 as-completed value, below the 15% threshold, and requires $580,000 more to avoid HVCRE classification. The 15% test is met at $10,920,000.

Why it matters. The computation credits the land at $8,200,000. If the land was funded with mezzanine proceeds (A-2) or remains subject to the released-at-closing Prior Deed of Trust (A-1), the credit is questionable under the contributed-capital definition, and the HVCRE conclusion may be worse than stated. Conversely, if the Refinancing Payoff is added to costs and funded with $3,400,000 of new cash equity, contributed capital becomes $11,600,000, or 15.93% — which would allow the Bank to avoid HVCRE classification entirely (subject to confirming the rule's conditions, including that loan proceeds are not used to reimburse the borrower for contributed property).

Recommended resolution. Do not rely on the 14.2% figure until A-1 and A-2 are resolved. Direct credit administration to re-run the classification after closing documentation is conformed. Draft Agreement §11.7 records the analysis and requires Borrower cooperation, but does not warrant a particular classification.

B. Environmental

B-1. Two of the four NFA conditions are absent from every bank document

Finding. ESA §7 identifies four conditions to the NFA determination: (1) the Vapor Mitigation System; (2) the non-residential land use restriction on the 0.38-acre Affected Area; (3) a NCDEQ-approved **Soil Management Plan** before any

subsurface disturbance in the Affected Area; and (4) a **Deed Notice** recorded in the Durham County Registry "within 60 days of the date of the NFA Letter — that is, by **November 29, 2024**." The ESA states that as of October 28, 2024 the deed notice had not been recorded.

TS §17 refers only to the vapor mitigation system ("The NFA letter authorizes commercial use of the affected area … conditioned on the installation and maintenance of a soil vapor mitigation system"). It does not mention the use restriction, the Soil Management Plan or the Deed Notice. CM §8.2 discloses the use restriction and the vapor system but not the Soil Management Plan or the Deed Notice; Condition 10.1.7 likewise requires only (a)–(b) reports, (c) vapor system design and (d) resolution of the use restriction. The Title Commitment does not list any environmental instrument in Schedule B-II; Note 5 excludes environmental matters from coverage entirely.

Why it matters. (i) The Deed Notice deadline has passed (or will have passed by closing) and the record contains no evidence of recording. Failure to record is a breach of the NFA conditions that could, at NCDEQ's option, reopen Site ID IHSB-24-1203; it also leaves a latent instrument that will appear in the title chain after closing. (ii) The Soil Management Plan must be *approved by NCDEQ before* excavation in the Affected Area. Construction beginning without it is both an environmental violation and a construction-stoppage risk. (iii) The Late Notice also affects priority: when recorded, the notice and the accompanying Declaration of Land Use Restrictions will appear in the title chain; the Lender needs it to be a controlled, approved exception.

Recommended resolution. Add all four conditions to the closing conditions and to the covenants (Draft Agreement §19.2 and Exhibit E; Sched. 9.2 ¶13): (i) evidence the Soil Management Plan has been submitted (and approved if NCDEQ so requires); (ii) the Vapor Mitigation System designed, engineered and incorporated into the plans and the GMP Contract (budget line 2.08 carries a note that it includes the system); (iii) the Deed Notice recorded — at or before closing if not previously recorded — together with a written statement from NCDEQ or environmental counsel that the late recording does not impair the NFA determination; and (iv) Lender approval of the form of the recorded instrument and title coverage that does not subordinate the Deed of Trust. Draft Agreement Exhibit D ¶8 admits the instrument as a Permitted Exception only on those terms.

B-2. The land use restriction versus 14 residential units — an unresolved, unquantified valuation issue

Finding. CM §8.2 and §9.5 state that the plans "position 14 residential units … directly above" the Affected Area. The ESA does not verify this: §8.5 states that the consultant "did not independently verify whether any residential units would be positioned directly above the affected 0.38-acre area," and Recommendation 1 directs the client and architect to perform the overlay. The Appraiser likewise

disclaims: App. §8 states it "expresses no opinion as to the legal permissibility of the planned residential use," and Extraordinary Assumption 7 assumes compliance with the restriction or a modification. App. §8 also states that the appraiser "has not adjusted the valuation conclusions to account for any potential impact of the NFA use restriction."

Why it matters. The CM quantifies the income effect of losing 14 units ($377,160 of annual revenue; DSCR falls to 1.21x) but not the value effect, and its computation ignores the vacancy and credit-loss allowance. Our recomputation (Appendix B, Table B-4) gives an NOI reduction of $358,302, DSCR of **1.21x**, and — capitalizing the lost income at the appraiser's 6.40% rate — an as-completed value reduction of approximately **$5,598,000**, taking as-completed value to $67,202,000 and as-completed LTV to **70.68%**. That would breach both the 65% Term Sheet limit and the 70% policy guideline, and would put the Loan in default of the LTV covenant on day one if the restriction is enforced.

Recommended resolution. Require, as a closing condition (or at the Lender's election as a condition to advances above the podium), one of: (a) a written NCDEQ modification permitting residential use above the restricted area with the vapor mitigation system in place; (b) redesign of the affected space as non-residential and revised income projections demonstrating covenant compliance; or (c) written NCDEQ confirmation that residential use above the grade-level restricted area is permitted with engineering controls (CM §9.5 alternatives). In all events, require a **revised appraisal** reflecting the resolved program before the first advance above the podium level, and consider reducing the Loan or requiring additional equity in the interim. Draft Agreement §19.2(b) prohibits residential occupancy in the Affected Area absent an approved modification and requires revised projections.

B-3. The environmental condition is classified as a REC, not a CREC, and no pollution insurance is required

Finding. ESA §8.1 classifies the condition as a Recognized Environmental Condition rather than a Controlled REC because the Deed Notice had not been recorded and the vapor mitigation system had not been designed or installed. ESA §8.1 notes that the condition "may be reclassified as a CREC" once the NFA conditions are implemented. ESA Recommendation 6 suggests the Lender evaluate pollution legal liability insurance. The Credit Memorandum does not require it.

Why it matters. A REC classification has internal consequences (credit policy may require a Phase II and a lender-approved remediation plan, which exists) and external ones (the CERCLA bona fide prospective purchaser defense depends on all appropriate inquiry and appropriate care — including compliance with the NFA conditions). Also note the consultant's liability cap of approximately $12,500 (ESA §11) — the Lender's practical remedy against the consultant is negligible.

Recommended resolution. Consider requiring a pollution legal liability policy as a closing condition (Draft Agreement §19.8 permits the Lender to require it within 60 days of request); at minimum, calendar a Phase I update if closing slips past **April 26, 2025** (ESA §9; 180-day AAI shelf life) and confirm the reliance letter (ESA §11) is addressed to the Lender at its correct address (see E-4).

B-4. Remediation quantities and cost are stated three different ways

Finding. Excavated soil: **1,200 cubic yards** (ESA §6.1) versus **320 cubic yards** (App. §8) versus **340 cubic yards** (CM §8.2). Remediation cost: approximately **$485,000** (ESA §6.3) versus **$680,000** for demolition plus remediation (App. §6.1). The UST itself is described as a **2,000-gallon diesel tank for a backup generator installed around 1972 and removed around 1998** (ESA §§2.2, 3.3, 5) versus a **heating-oil tank installed in the 1950s and not in use since approximately 1988** (App. §8).

Why it matters. Individually these are factual inconsistencies. Taken together they indicate that the appraisal and the Credit Memorandum did not work from the environmental report itself, which matters because the appraisal's Extraordinary Assumptions and the Credit Memorandum's condition 10.1.7 both depend on the accuracy of that description. The pre-closing expenditure also matters to the equity analysis: demolition and remediation costs are not in the Project budget, so the Borrower has spent money that is neither credited as equity nor reimbursed.

Recommended resolution. Correct the descriptions in the closing set; obtain written confirmation from Sentinel of the correct quantities and the aggregate pre-closing cost; and ask the Borrower whether it seeks equity credit for pre-closing site costs (the Appraisal treats the $680,000 as having created value through the $8,900,000 appraised land value, which itself would support a credit if the expenditures were documented).

C. Title, Survey and Construction Priority

C-1. Mechanics' lien relation-back

See Top-Risk item 4. The record shows substantial pre-closing work: demolition in August 2024 pursuant to City permits, remediation in September 2024, and a "rough-graded" site as of the November 12, 2024 inspection (App. §2; ESA §2.1). Under N.C.G.S. §44A-10, claims of lien for that work relate back to first furnishing and would prime a Deed of Trust recorded in February 2025. TC Note 4 recommends an affidavit that no labor or materials were furnished before recording — an affidavit that cannot truthfully be given. Draft Agreement §12.6 therefore requires final waivers from the demolition, remediation and site-work trades, an owner's and contractor's affidavit, and an ALTA 31 (mechanics' lien) endorsement or equivalent affirmative coverage as a condition to closing.

C-2. Architectural review: the appraisal assumes an approval the title officer says it has not seen

Finding. App. §2 states that "the architectural design has been reviewed and approved by the Brightleaf Historic District Association in accordance with the CC&Rs," and Extraordinary Assumption 5 assumes the CC&Rs do not materially impair development. TC Sched. B-II ¶11 (Title Officer's Note) states that the Company "has not received evidence that the current project plans … have been submitted to or approved by" the Architectural Review Committee, and describes the 90-day submission requirement, the 60-day deemed-approval mechanism, the Association's right to seek injunctive relief including **the right to halt construction** that has not received approval, and an assessment of **$0.12 per square foot of gross building area** (approximately **$34,500 per year** for 287,500 square feet).

Why it matters. (i) An unreviewed project is exposed to an injunction stopping construction mid-course, which is both a completion risk and a collateral risk. (ii) The Association assessment is a real operating expense that does not appear in the Appraisal's operating expense schedule (App. §7). Our recomputation (Appendix B, Table B-5) reduces NOI by $34,500 to $4,841,616 and DSCR from 1.31x to **1.30x** — immaterial to the covenant but symptomatic of an expense projection that omits a known, recorded obligation. (iii) The appraisal's Extraordinary Assumption is arguably false as of its date, which is worth noting to the appraiser.

Recommended resolution. Make ARC approval (or lapse of the deemed-approval period) a closing condition (CM Condition 10.1.14; Draft Agreement §10.7; Sched. 9.2 ¶17), require the executed approval letter, and require the appraiser to confirm whether the $34,500 assessment was included in its expense projection (if not, the as-stabilized value is modestly overstated: $34,500 ÷ 6.40% ≈ $539,000).

C-3. Legal description, acreage, frontage, orientation and flood panel all conflict

Item	Title Commitment	Phase I ESA	Appraisal
Parcel 0821-04-72-3341	2.09 acres	1.89 acres	3.47 acres combined
Parcel 0821-04-72-4102	1.38 acres	1.58 acres	—
Combined	3.47 acres (151,287 sf)	3.47 acres	3.47 acres (151,153 sf)
Foster Street frontage	298.62 ft + 201.88 ft = 500.50 ft	site "fronts Foster Street to the north"	"approximately 420 feet"
Orientation	Foster Street on the **western** boundary (metes and bounds; eastern right-of-way margin)	north boundary	western boundary
Flood panel	not stated	Zone X, panel	Zone X, panel

Item	Title Commitment	Phase I ESA	Appraisal
		3720098700J, eff. 3/2/2009	3710406400J, eff. 5/2/2019

Why it matters. The metes and bounds descriptions in TC Sched. A compute to 91,201 square feet (2.094 acres) and 60,086 square feet (1.379 acres), which confirms the title figures and indicates the ESA's acreage is in error. Frontage of 500.50 feet versus "approximately 420 feet" is a 19% difference and bears on retail visibility and the valuation's comparable adjustments. The parcel-level discrepancy also matters for the environmental analysis, because the "0.38-acre" Affected Area is described as a portion of a parcel whose stated size varies by 0.2 acres between documents.

Recommended resolution. Resolve all of it with the ALTA/NSPS Survey required by TC Sched. B-I ¶5 and Draft Agreement §12.5/§21.3, conform Exhibit A to the survey and the final policy before recording, and obtain a current Standard Flood Hazard Determination Form (Draft Agreement §20.1(f)). Do not permit the Deed of Trust to be recorded against the Title Commitment descriptions until the survey confirms them. This is also the item that determines whether the required endorsements (contiguity, access, survey, zoning) can be issued.

C-4. Document shelf lives and expiration dates

The Phase I ESA's AAI shelf life runs to **April 26, 2025**; the Title Commitment expires **June 5, 2025**; the appraisal must be dated within 12 months of closing under FIRREA (effective through **November 15, 2025**). The February 28, 2025 target date is inside all three windows, but any slippage past April 26 requires a Phase I update (approximately $2,500–$5,000) and any slippage past June 5 requires a new commitment. Recommend calendaring these now given the A-1 through A-4 items.

D. Financial Covenants, Arithmetic and Structure

D-1. The interest reserve analysis is inconsistent across three documents, and none of the three is the right answer

Finding. Three different computations of the same quantity appear in the record:

Source	SOFR assumption	All-in rate	Projected interest	Surplus / (shortfall)
Borrower's workbook (Interest Reserve Analysis)	3.50%	6.75%	$4,628,675	$221,325 "appears adequate"
Borrower's workbook sensitivity, at current SOFR	4.35%	7.60%	$5,215,830	($365,830)
Credit Memorandum §6.2 (average balance $28.5m)	4.35%	7.60%	$5,415,000	($565,000)
Our recomputation on the	**4.35%**	**7.60%**	**$5,211,542**	**($361,542)**

Source	SOFR assumption	All-in rate	Projected interest	Surplus / (shortfall)
draw schedule (Appendix B, Table B-1)				

Why it matters. The workbook's headline conclusion ("APPEARS ADEQUATE") depends on a **3.50% SOFR assumption that is below the 4.35% rate in effect** on the date of both the workbook and the Credit Memorandum. The Credit Memorandum's $565,000 shortfall, by contrast, overstates the deficiency by approximately $200,000 because it assumes a $28,500,000 average balance that the draw schedule does not produce (the actual time-weighted average is approximately $27,429,000). Neither figure should go to the Senior Loan Committee. The correct current-rate deficiency is approximately **$362,000**, and it widens to approximately $636,000 at 8.00% and $979,000 at 8.50% (Appendix B).

Recommended resolution. (i) Require a $400,000 deposit into the Interest Reserve Account at closing from verified third-party equity (not loan or mezzanine proceeds), which restores the reserve to approximately 105% of projected interest at the current rate; (ii) retain the mandatory replenishment obligation and the draw-by-draw adequacy test (Draft Agreement §§8.3–8.4); (iii) require a SOFR cap at a 5.00% strike if SOFR exceeds 5.00%, the reserve projects a deficiency more than 180 days before maturity, or pro forma DSCR falls below 1.25x (Draft Agreement §8.6) — do **not** defer the cap to the extension option, as the Credit Memorandum suggests; and (iv) correct CM §6.2 before the file is finalized.

D-2. Combined coverage below 1.00x is untested in every document

Finding. No document tests senior plus mezzanine debt service. Our recomputation (Appendix B, Table B-2):

Component	Amount
Stabilized NOI (App. §7)	$4,876,800
Senior interest-only at 7.85% on $47,500,000	($3,728,750)
Mezzanine interest at 12.50% on $9,200,000 (cash pay)	($1,150,000)
Combined debt service — no PIK accrual	**($4,878,750) → 1.00x**
Mezzanine balance at construction maturity (simple PIK, 30 months)	$12,075,000 → interest $1,509,375
Combined debt service — with PIK accrued	**($5,238,125) → 0.93x**
Mezzanine balance (monthly compounding)	$12,554,600 → interest $1,569,325
Combined debt service — compounded	**($5,298,075) → 0.92x**

Why it matters. The Loan is interest-only with a 12-month mini-perm and a six-month extension; the take-out is a refinancing. On the Appraiser's own NOI, the property cannot pay both tranches, which means the Borrower will need either materially better NOI than $4,876,800, a mezzanine restructure (deferral of cash

pay until the senior Loan is repaid), or new equity at stabilization. None of these is documented. The Credit Memorandum's DSCR analysis (§6.1) and the Term Sheet's DSCR covenant (§6.3) test senior debt only, which is standard for a mezzanine-separated structure but, in this case, obscures the structural gap.

Recommended resolution. (i) Add a Combined DSCR covenant of not less than 1.10x tested annually after stabilization (Draft Agreement §16.4), with the cure mechanics we have drafted. (ii) Require, as a condition to conversion to the Mini-Perm Period, evidence that the Mezzanine Loan is on a full-accrual (no cash pay) basis until the senior Loan is repaid, or that the mezzanine balance will be reduced (Draft Agreement §22.12). (iii) Add the mezzanine accrual to the Sources and Uses as a disclosed non-cash use, so the capital structure is complete on its face. (iv) Require the Borrower to deliver a take-out commitment or credible refinancing plan 120 days before maturity (§6.4).

D-3. The draw schedule does not foot, and the "retainage release" is not retainage

Finding. TS §9.2 and CM §7.1 both show Draws 2 through 8 totalling **$34,750,000** — one hundred percent of the GMP — notwithstanding a stated **10% retainage**, and a Draw 9 "Retainage Release" of **$3,275,000**, which is **9.42%** of hard costs rather than 10%. The Borrower's workbook compounds the problem: its hard-cost column sums to **$38,225,000** (110% of the GMP); its "Developer Fee" column sums to **$923,750** against a $2,835,000 budget; its "Contingency" column sums to **$3,351,250** against a $1,440,000 budget; and its component columns sum to **$48,500,000** against $47,500,000 of draws, even though the "Total Draw" column itself foots to $47,500,000 (the totals row is entered, not calculated).

Why it matters. The document that will drive the Bank's disbursements is internally inconsistent by $1,000,000 to $3,475,000 depending on which column one reads. The practical consequences are (i) over-funding of hard costs by up to $3,475,000, (ii) a retainage holdback that is never actually withheld, and (iii) no mechanism for the Developer Fee and contingency to be disbursed at all, despite both being identified as senior-loan-funded in the budget.

Recommended resolution. Adopt **Exhibit C** to the Draft Agreement, which we rebuilt from the budget line items and which foots: hard costs of $34,750,000 (drawn net of $3,475,000 retainage as $31,275,000, then released), soft costs $4,150,000, interest reserve $4,850,000, origination fee $475,000, Developer Fee $1,835,000 (senior share) and contingency $1,440,000 — total **$47,500,000**, with retainage of exactly 10% and cumulative advances that reconcile at every stage (Appendix B, Table B-3). Require the Borrower to reproduce this schedule in its requisition software and confirm the 10% holdback is actually withheld by the disbursement agent.

D-4. The DSCR covenant as drafted cannot be satisfied at the time it is tested

Finding. TS §6.3 requires the DSCR to be tested "at the commencement of the Mini-Perm Period and annually thereafter based on actual trailing twelve-month net operating income," with a 1.25x floor. At the commencement of the Mini-Perm Period the building will have just received its certificate of occupancy (construction maturity August 28, 2027; projected substantial completion August 31, 2027; stabilization projected May 2028). Trailing twelve-month actual NOI at that date will be near zero.

Why it matters. A covenant that is breached on the day it first applies is worse than no covenant: it either forces a waiver at the worst moment, or it converts a technical failure into a default at the outset of the mini-perm.

Recommended resolution. Test the 1.25x DSCR at the commencement of the Mini-Perm Period **on a pro forma basis** using stabilized NOI, then on actual trailing twelve-month NOI from the first anniversary of substantial completion, and annually thereafter (Draft Agreement §16.3(a)). This preserves the credit intent while making the covenant operable. The Credit Memorandum's extension conditions already adopt a sensible variant (1.15x on trailing three-month annualized income, CM §11(d)); we have carried that into Exhibit F.

D-5. The partial repayment guaranty: 25% aggregate or 25% per guarantor?

Finding. TS §7.3 provides for a Partial Repayment Guaranty "in the amount of 25% of the Loan Amount (25% × $47,500,000 = $11,875,000)" that is "joint and several, meaning that each Guarantor shall be individually liable for the full guaranteed amount" — i.e., an aggregate cap of $11,875,000. CM §4.3 and §§2.3.1–2.3.2 instead describe "$11,875,000 **per guarantor**," which implies aggregate exposure of **$23,750,000 (50% of the Loan)**. CM §2.3.3 then analyzes each guaranty as if it were $11,875,000 (39.8% of Ms. Vasquez-Torres's net worth; 103.3% of Mr. Osei's).

Why it matters. A $11.9 million difference in guarantor exposure in a document the Guarantors will be asked to sign. The Term Sheet controls (the Credit Memorandum is internal), but the ambiguity should be resolved before the Guaranties are drafted.

Recommended resolution. Adopt the Term Sheet's aggregate cap: $11,875,000 in the aggregate, joint and several, each Guarantor individually liable for the full amount, with the Lender's total recovery limited to $11,875,000 (Draft Agreement §13.3). Correct the Credit Memorandum's "per guarantor" language. The Guarantors should also be advised that the Completion Guaranty and the Carry Guaranty are **not** subject to that cap and are effectively unlimited, and that the Environmental Indemnity is unlimited and survives.

D-6. Guarantor capacity and the missing guarantor net worth covenant

Finding. The Term Sheet contains no guarantor net worth covenant. TS §15 nonetheless makes it an Event of Default that "**Any Guarantor's net worth falls below the minimum threshold set forth in Section 6.4**" — but §6.4 is the *Borrower's* $12,000,000 net worth covenant. The cross-reference is to the wrong covenant and to a covenant that does not exist. Meanwhile Mr. Osei's partial guaranty equals 103.3% of his stated net worth, his net worth is 59% illiquid real estate, and the Completion and Carry Guaranties are unlimited.

Why it matters. A guarantor whose guaranty exceeds his net worth and who must fund unlimited completion and carry obligations is a credit exposure that should be monitored by covenant, not only by annual financial statements.

Recommended resolution. Add a guarantor net worth covenant of $30,000,000 combined and $8,000,000 per Guarantor (Draft Agreement §13.8 and §16.7) — which requires Borrower consent because it is not in the Term Sheet — or, alternatively, delete the defective cross-reference in §15 and rely on the liquidity covenant. We recommend the former and have flagged it in Section 6 below as a provision beyond the Term Sheet.

E. Party, Factual and Documentary Inconsistencies

#	Inconsistency	Source A	Source B	Comment / recommendation
E-1	**Sponsor track record**	CM §2.1: four projects, "approximately 580 residential units and 65,000 square feet of commercial space," $128 million	App. §3: The Edison at West Village (84), The Meridian on Glenwood (116), Harborview Lofts (64), The Apex at Chatham (92) = **356 units**	224-unit (63%) overstatement in the Credit Memorandum; the 65,000 square feet of commercial space appears in no source. Correct before the credit file is final; obtain a project schedule with completion dates and occupancies.
E-2	**Land acquisition date and manner**	Org §1.3: contributed by Ms. Vasquez-Torres personally "upon formation" (entity formed March 14, 2019)	TC Sched. A: deed from **Foster Street Properties LLC** to Borrower dated **June 12, 2023** (Book 7598, Pages 443 and 445); ESA §2.2: "acquired … in **2022**"; App. §6.1: price paid "in **early 2024**"; CM §2.2: through capital calls from all three members	Four descriptions, only one of which (the 2023 deed from an unaffiliated seller) is documented. The "contribution at formation" narrative is contradicted by the deed. Fix the narrative and obtain the closing statement.
E-3	**Borrower's stated net**	CM §2.1 and §6.1: $14,200,000, "Pass" against a	Borrower's only described asset is the land at $8,200,000	If the Borrower's balance sheet carries the land at $8.2m and the Prior Deed

#	Inconsistency	Source A	Source B	Comment / recommendation
	worth	$12,000,000 covenant; Org §1.1: "based on the book value of its assets and liabilities"	cost, and the land is subject to a $3,400,000 deed of trust and (per the budget) was funded by mezzanine debt of $9,200,000	of Trust (or the Mezzanine Loan) as a liability, net worth is approximately $4.8m (or negative), not $14.2m. Obtain the balance sheet and supporting schedules before relying on the covenant or the "Pass."
E-4	**Lender's address**	TS §1.1, App. cover, CM: 215 South Tryon Street, 18th Floor	ESA cover page: "200 South Tryon Street, 18th Floor"	Confirm the Phase I ESA reliance letter (Appendix G) names the Lender correctly; an error in the reliance party's identity can impair reliance.
E-5	**Guarantor ages / PFS dates**	CM §§2.3.1–2.3.2: PFS dated December 15 and December 18, 2024; ages 54 and 47	Term Sheet: no dates or ages	Obtain current PFS (within 90 days of closing), tax returns for two years, and a signed authorization to verify liquidity.
E-6	**Loan structured as "single advance"**	TS §3.1: "structured as a single advance facility"	TS §9.2 and CM §7.1: nine draws tied to construction milestones	Internal contradiction in the Term Sheet. The Draft Agreement (§2.3) correctly structures the Loan as a fully committed, non-revolving, multi-draw construction facility.
E-7	**Unused line fee**	TS §3.4: 0.25% per annum on the average daily undrawn commitment, payable quarterly	The Loan is a fully committed construction facility, not a revolver	Unusual but not objectionable; it functions as a commitment fee. Drafted at §5.3 with the undrawn amount determined after excluding amounts held in the Interest Reserve and Equity Escrow Accounts and after any permanent reduction of the Commitment.

F. Conditions in the Credit Memorandum That Are Not in the Executed Term Sheet

The Credit Memorandum imposes conditions that the Term Sheet does not contain. Because TS §22 makes only the confidentiality, exclusivity and expense-deposit provisions binding, the Lender is not contractually precluded from adding conditions — but each addition must be obtained in negotiation and documented, or the closing will fail on a condition the Borrower never agreed to. The additions are:

Condition	Credit Memorandum	Term Sheet status	Draft Agreement
$2,140,000 equity escrow from verified third-party sources	§5.3, §9.1, 10.1.2	Not addressed; §5.1 shows equity of $0	§2.4(b)–(c), §11.3
Non-consolidation opinion	§9.3(c), 10.1.4(b)	Not addressed	§18.3
Independent manager (mandatory, not "potential")	§9.3(b), 10.1.4(a)	§20 contemplates only the "potential appointment" of an independent manager	§18.2
Combined (senior plus mezzanine) coverage	Not required	Not addressed	§16.4 (our addition, recommended)
Guarantor net worth covenant	Not addressed	Defective cross-reference in §15 only	§13.8, §16.7
Interest reserve adequacy test at each draw	§6.2, 10.2.7	Only a replenishment obligation (§10)	§8.4
Brightleaf Historic District Association approval	§9.8, 10.1.14	Not addressed	§10.7; Sched. 9.2 ¶17
Contractor bonds and financial statements	§9.8 (bonding capacity)	Not addressed	§10.4(b); Sched. 9.2 ¶14
Architect's professional liability insurance ($2,000,000)	§8.1	Not addressed in §19	§20.1(g)
Late charge, cash collateral for extensions, cap agreement	§11(f) (cap as an extension condition only)	Not addressed	§§5.5, 8.6, Ex. F(g)

Recommendation. Paper the package in a short **term sheet amendment/confirmation letter** countersigned by the Borrower before the loan documents are issued in final form, or, at a minimum, confirm the Borrower's acceptance in the closing checklist. Note that the Term Sheet's expense deposit ($75,000) was due January 17, 2025 and that exclusivity runs through March 11, 2025 — so the Borrower is on the clock, which is leverage.

5. Figures Reconciliation and Independent Recomputation

Every figure below was recomputed from source components. Table references correspond to the fuller version at Appendix B.

Metric	Stated in record	Our recomputation	Verdict
Total Uses	$56,700,000 (TS §5.2)	$56,700,000	Agrees (but omits the $3,400,000 payoff)
Total Sources	$56,700,000 (TS §5.1)	$47,500,000 + $9,200,000 + $0 = $56,700,000	Agrees arithmetically; land equity of $8,200,000 is omitted, so the table does not represent the funding of the land

Metric	Stated in record	Our recomputation	Verdict
LTC	83.77% (CM §5.3)	83.77%	Agrees; exceeds 80%
Maximum loan at 80% LTC	$45,360,000 / shortfall $2,140,000	$45,360,000 / $2,140,000	Agrees
LTV as-completed	65.25% (TS §4; CM §6.1 “Pass”)	65.25%	Agrees, but exceeds the 65% limit in TS §4/§6.2 by $180,000; the CM’s 70% test is inconsistent with the Term Sheet
LTV as-stabilized	62.34%	62.34%	Agrees
Stabilized NOI	$4,876,800	$4,876,116 (residential line is 212 × $2,245 × 12 = $5,711,280, rounded up to $5,712,000 in the Appraisal)	De minimis ($684; 0.01%) rounding; noted, not material
Implied cap rate	6.40%	6.40%	Agrees
Senior DSCR	1.31x	1.308x	Agrees
Stress DSCR (+200 bp)	1.04x	1.042x	Agrees
Interest reserve requirement	Surplus $221,325 (3.50% SOFR) / shortfall $565,000 (4.35%, CM)	**Shortfall $361,542** at 4.35% (workbook’s own 4.35% sensitivity says $365,830)	CM overstates the shortfall by ~$200,000; workbook’s headline surplus uses a rate 85 bp below market
Retainage	10% of $34,750,000 = $3,475,000	$3,475,000, versus $3,275,000 shown as Draw 9	Term Sheet understates retainage by $200,000
HVCRE contributed capital	$10,340,000 = 14.2%; $580,000 short of 15%	$10,340,000 = 14.2%; $580,000	Agrees, subject to A-2 and A-6
Combined DSCR	Not computed	1.00x (no PIK); 0.93x (simple PIK); 0.92x (compounded)	Not disclosed anywhere
14-unit loss impact	NOI $4,499,640; DSCR 1.21x (CM §9.5)	NOI $4,517,814 (CM ignores the 5% vacancy offset); DSCR 1.212x; value −$5,598,469; as-completed LTV 70.68%	CM’s DSCR conclusion is right; the value and LTV impact is not disclosed and is material
Association assessment	Not in the record’s expense schedule	$34,500/yr; NOI $4,841,616; DSCR 1.298x	Omitted expense
Prior deed of trust	$3,400,000 “to be satisfied at closing”	$3,400,000 original; balance unverified; no funding source	Critical gap

6. Drafting Decisions and Provisions Beyond the Term Sheet

For transparency, the Draft Agreement contains the following provisions that are **not** in the Term Sheet. Each is a negotiating item; none changes the Loan amount or the interest rate.

Provision	Draft Agreement	Rationale
Borrowing base limitation and permanent Commitment reduction	§2.4(a), (c)	Makes the LTC/LTV covenants operative rather than aspirational
Required Equity Contribution defined by reference to a Lender-approved Closing Statement	§2.4(b), §11.2(b)	Resolves A-1/A-2 without hard-coding a figure that the payoff letter will change
Refinancing Payoff as a Project Cost; payoff letter and recordable release	§12.4	A-1
Pre-closing mechanic’s lien waivers and ALTA 31 coverage	§12.6; Ex. D ¶1	C-1
Retainage of exactly $3,475,000; release conditions include NCDEQ as-builts	§9.3	D-3; B-1
Interest reserve adequacy test, replenishment, $400,000 cash requirement by implication, and mandatory SOFR cap in stated circumstances	§§8.3, 8.4, 8.6	D-1
Combined DSCR covenant (1.10x)	§16.4	D-2
Guarantor net worth covenants ($30,000,000 combined; $8,000,000 each)	§13.8, §16.7	D-6
Additional Recourse Triggers: failure to complete, misapplication of proceeds, mezzanine amendment, challenge to enforceability, SPE breach	§13.4(g)–(j)	Term Sheet §7.3 lists six triggers “including but not limited to”; these are customary. Guarantors will push back on (g) and (j)
Late charge of 5%	§5.5	Customary; not in Term Sheet
Pollution legal liability insurance at Lender’s request	§19.8	B-3
Cash management is **not** required; the Assignment of Rents remains the mechanism	Art. 12	Avoids adding an unagreed structure; consider springing cash management if the Loan converts to the mini-perm with occupancy below 75%
Independent manager mandatory (not “potential”)	§18.2	Implements CM §10.1.4
Developer Fee disbursement conditioned on no Default and sufficient funds; final portion at Draw 9	§11.6	Prevents an equity leak before completion
Extension conditions specified in full	§6.2; Ex. F	Term Sheet §3.2 left them “to be

Provision	Draft Agreement	Rationale
		determined”
Interest Rate Limitation / usury savings clause	§3.7	Protects against N.C.G.S. Chapter 24 and 12 U.S.C. §85 issues, particularly at the Default Rate (contract plus 5.00%, i.e., up to ~13.1% at current SOFR)
Waiver of jury trial; North Carolina venue; attorney’s fees under N.C.G.S. §6-21.2	§§29.3, 29.2, 25.11	Customary local practice
Acknowledgment and Consent of Members signature page, including the 28% member	After Art. 30	Addresses the 75% supermajority requirement (A-5)

Two drafting choices deserve specific mention. First, we have **not** included a “nonrecourse” exculpation provision. The Term Sheet does not provide for one, the Completion and Carry Guaranties are unlimited, and an exculpation clause would be inconsistent with the guaranty structure the Committee approved. Second, we have **not** drafted the Loan as a “single advance facility” as TS §3.1 states; the drafts implement the nine-draw structure of TS §9.2 and CM §7.1, which is the operative commercial understanding.

7. Open Items and Required Deliverables

#	Item	Responsible	Needed by	Consequence if not delivered
1	Payoff letter from Triangle Commercial Bank (balance, per diem, fees) and recordable cancellation	Borrower / Disbursement Agent	10 days before closing	No first-priority lien; no closing
2	Evidence of the source of the Refinancing Payoff and of the Required Equity Contribution (bank statements, source certificates)	Borrower	5 days before closing	LTC/LTV non-compliance; no closing
3	Conformed Sources and Uses / Closing Statement approved by Lender	Borrower / Lender	5 days before closing	Cannot compute Required Equity Contribution
4	Executed Intercreditor Agreement and UCC-8 filings	Lender / Mezzanine Lender	Closing	No first-priority pledge; no closing
5	Member consents (all three members, including 75% approval) and executed Operating Agreement amendments with SPE covenants and independent manager	Borrower	Closing	CM §10.1.4 unsatisfied
6	Non-consolidation opinion from	Borrower’s	Closing	CM §10.1.4(b)

#	Item	Responsible	Needed by	Consequence if not delivered
	Calloway & Strauss	counsel		unsatisfied
7	Evidence of recording of the Deed Notice; NCDEQ or counsel confirmation that late recording does not impair the NFA; NCDEQ-approved Soil Management Plan	Borrower / environmental counsel	Closing (Deed Notice), before excavation (SMP)	NFA jeopardy; construction stoppage risk
8	NCDEQ modification permitting residential use above the Affected Area, or redesign and revised projections, or NCDEQ confirmation	Borrower / design team	Closing, or before advances above the podium	14 units at risk; LTV 70.68%
9	ALTA/NSPS Survey; conformed Exhibit A; flood determination	Borrower / surveyor / Lender	10 days before closing	Endorsements unobtainable; description unresolved
10	Final lien waivers from demolition, remediation, grading and site-work trades; ALTA 31 coverage	Borrower / Disbursement Agent	Closing	Mechanics' lien priority risk
11	Architectural Review Committee approval (or deemed approval)	Borrower	10 days before closing	Injunction risk
12	Executed GMP Contract, 100% payment and performance bonds, Contractor's financial statements, collateral assignment, Architect's assignment and E&O certificate	Borrower	10 days before closing	CM Condition 8–9 unsatisfied
13	Borrower balance sheet supporting a $12,000,000 net worth (reflecting the Prior Deed of Trust and Mezzanine Loan)	Borrower	10 days before closing	Net worth covenant and CM "Pass" unsupported
14	Corrected Credit Memorandum arithmetic (interest reserve; sponsor unit count; "per guarantor")	Lender credit	Before file finalization	Internal inconsistency in the credit file
15	Term sheet amendment/confirmation letter covering Section 4.F conditions	Lender / Borrower	Before final loan documents	Closing conditions the Borrower never agreed to

8. Recommended Sequence and Timeline

The February 28, 2025 closing date is achievable only if items 1, 2, 3, 4, 5 and 7 move within the next two weeks. We recommend: (i) issue a **term sheet amendment/confirmation letter** this week addressing Section 4.F and the A-1 equity requirement; (ii) request the payoff letter and the equity evidence immediately (these are the long-lead items); (iii) circulate the Draft Agreement to

Borrower's counsel with a cover note that the Loan is subject to the equity and title conditions; (iv) schedule the title/survey call with Aldersgate and the surveyor within ten days; and (v) set an internal drop-dead date of **February 14, 2025** for items 1–3, failing which the closing should be re-set to a date after the Phase I update window (April 26, 2025) is dealt with.

9. Limitations

This memorandum and the Draft Agreement are prepared solely for the Lender and its counsel in connection with the Loan. They are not an opinion as to title, survey, zoning, appraisal, environmental condition, or the tax or accounting treatment of any transaction. We have relied on the documents listed in Section 1.2 without independent verification except as to arithmetic, which we have recomputed. Several of those documents are excerpts (the appraisal executive summary, the Phase I ESA, and the Operating Agreement), and our conclusions may change upon review of the full reports. The recommendations are legal and structural recommendations to the Lender; they are not credit recommendations, and any change to the Loan amount, equity requirement or covenants remains a business decision for the Senior Loan Committee. Nothing in this memorandum constitutes advice to the Borrower or any Guarantor.

Respectfully submitted,

ASHFORD, CROMDALE CONSULTING & LAINE LLP

By: _____ Katharine "Kate" Drummond, Partner Marcus Webb, Associate

APPENDIX A — SOURCE-TO-ISSUE LOG

Each material proposition, figure, date and obligation relied upon in the Draft Agreement, with its location in the record and its disposition.

ID	Proposition / figure	Source and location	Disposition
1	Loan amount $47,500,000; construction-to-mini-perm	TS §3.1–3.2; CM §4.1	Adopted (Draft Agr. §2.1)
2	Construction period 30 months; maturity Aug. 28, 2027; mini-perm to Aug. 28, 2028; one 6-month extension to Feb. 28, 2029	TS §3.2; CM §4.1; WB Summary	Adopted (§§6.1–6.2)
3	Construction SOFR + 3.25%; mini-perm SOFR + 3.50%; 1.00% floor; default rate + 5.00%	TS §3.3; CM §4.1	Adopted (Art. 3)
4	Origination fee 1.00% = $475,000, fundable from proceeds	TS §3.4; WB line 4.02	Adopted (§5.1)
5	Tiered exit fee (0.50% / 0.25% / none)	TS §3.4; CM §4.1	Adopted (§5.2)

ID	Proposition / figure	Source and location	Disposition
6	Unused line fee 0.25% on average daily undrawn	TS §3.4; CM §4.1	Adopted with clarification (§5.3)
7	Interest reserve $4,850,000 funded at closing	TS §10; CM §6.2; WB line 4.01	Adopted (§8.1) with adequacy flaw flagged (D-1)
8	Retainage 10% on hard costs; released post-CO	TS §9.1; CM §7.1	Adopted; amount corrected to $3,475,000 (§9.3)
9	Nine-draw schedule totalling $47,500,000	TS §9.2; CM §7.1; WB Draw Schedule	Superseded by Exhibit C (D-3)
10	“Single advance facility”	TS §3.1	Rejected as internally inconsistent with TS §9.2 (E-6)
11	Stabilized NOI $4,876,800; cap rate 6.40%; values $8.9m / $72.8m / $76.2m	App. §§6, 7, 10; CM §3.3	Adopted; de minimis rounding noted
12	LTV as-completed 65.25%; as-stabilized 62.34%	TS §4; CM §6.1; App. §10	Adopted; exceeds TS 65% cap (A-4)
13	LTV policy maximum 70%	CM §6.1, §12	Rejected as inconsistent with TS §4/§6.2 (65%) pending election (A-4)
14	LTC 83.77%; 80% maximum; $2,140,000 shortfall	TS §6.1; CM §5.3	Adopted as finding; cure re-engineered (§2.4)
15	DSCR 1.25x minimum; 1.31x projected; 1.04x stressed	TS §6.3; CM §6.1	Adopted with revised testing date (§16.3) (D-4)
16	Borrower net worth $12,000,000 minimum; current $14,200,000	TS §6.4; CM §2.1, §6.1; Org §1.1	Covenant adopted; current figure unsupported (E-3)
17	Guarantor liquidity $5,000,000; current $9,300,000	TS §6.5; CM §2.3.3	Adopted (§16.6)
18	Guarantor net worth $41,300,000 combined	TS §1.3; CM §2.3.3; Org §1.2	Adopted as base data; covenant added (§13.8)
19	Partial repayment guaranty $11,875,000 joint and several	TS §7.3	Adopted as aggregate cap (§13.3) (D-5)
20	“25% … per guarantor” ($23,750,000 aggregate)	CM §4.3, §§2.3.1–2.3.2	Rejected as inconsistent with TS §7.3 (D-5)
21	Completion, carry and environmental guaranties; environmental indemnity unlimited and surviving	TS §§7.1–7.4; CM §4.3	Adopted (Art. 13)
22	Collateral package (deed of trust, rents,	TS §8; CM §4.2	Adopted (Art. 12)

ID	Proposition / figure	Source and location	Disposition
	UCC, assignments, pledge)		
23	Pledge of 100% of membership interests to both senior and mezzanine lenders	TS §1.4, §8; CM §9.4; Org §1.2, §2.5	Conflict; resolved via Intercreditor (A-5)
24	Intercreditor Agreement negotiated but not executed	TS §1.4; CM §4.4; Org §1.2	Closing condition (Art. 22)
25	Mezzanine loan $9,200,000 at 12.50% fixed, coterminous, PIK then cash pay	TS §1.4; CM §4.4	Adopted; combined coverage flagged (D-2)
26	Thomas R. Chen controls both Brightleaf Investors Group LLC (28%) and Brightleaf Mezzanine Capital LLC	TS Ex. B; CM §2.2, §9.3; Org §1.2	Adopted; affiliate covenants (Art. 22)
27	75% supermajority for financing and OA amendments; Brightleaf holds effective veto	Org §2.2	Disclosed; member consents required (A-5)
28	$500,000 single-expenditure member approval threshold	Org §2.2	Flagged; amendment recommended (A-5)
29	Brightleaf received 28% for arranging mezzanine financing; $0 cash contributed	Org §1.3, §2.3	Adopted; undermines “equity” narrative (A-2)
30	Land cost $8,200,000; as-is value $8,900,000	TS §5.2; App. §6.1; TC Sched. A	Adopted; funding source disputed (A-2)
31	Land funded by mezzanine proceeds ($8,200,000) and $1,000,000 developer fee	WB Detailed Budget rows 1.01, 5.01	Disclosed; conflicts with TS §5.1, CM §2.2, Org §1.3 (A-2)
32	Prior deed of trust $3,400,000 to Triangle Commercial Bank; partially repaid; unverified	TC Sched. B-I ¶4, B-II ¶10; CM §9.7	Unfunded; critical (A-1)
33	Title commitment expires June 5, 2025	TC Note 1	Calendared (C-4)
34	Permitted exceptions (utility, stormwater, CC&Rs, standard)	TS §18; TC Sched. B-II ¶¶7–13; App. §2	Adopted (Ex. D); Triangle DOT excluded
35	ARC approval required; 60-day deemed approval; injunction rights; $0.12/sf assessment	TC Sched. B-II ¶11	Closing condition; expense omission flagged (C-2)
36	Appraisal states architectural design “has been reviewed and approved” by the Association	App. §2, Assumption 5	Contradicted by TC Note; flagged (C-2)
37	Parcel acreage 2.09 / 1.38 (title) vs. 1.89 / 1.58 (ESA); frontage 420 ft vs 500.50 ft; Foster St. west vs north	TC Sched. A; ESA §§1, 2.1; App. §2	Conflict; survey to resolve (C-3)
38	Flood Zone X; panel 3710406400J (2019) vs 3720098700J (2009)	App. §2; ESA §2.3	Conflict; new SFHDF required (C-3, §20.1(f))
39	One REC; TPH-DRO 847 mg/kg and benzene 0.42 mg/kg vs residential PSRGs; soil gas benzene 185 µg/m³ vs 31 µg/m³	ESA §§5.2, 5.4, 8.1	Adopted (Ex. E summary)

ID	Proposition / figure	Source and location	Disposition
40	Four NFA conditions: vapor system, use restriction, soil management plan, deed notice (due Nov. 29, 2024)	ESA §§7, 10	All four adopted (§19.2; Ex. E); two omitted from TS and CM (B-1)
41	Deed notice not recorded as of Oct. 28, 2024	ESA §7, §8.1	Closing condition (§19.2(d); Sched. 9.2 ¶13)
42	0.38-acre restriction vs. 14 residential units above	CM §8.2, §9.5; ESA §8.5; App. §8	Unresolved; value impact quantified (B-2)
43	Remediation 1,200 / 320 / 340 cubic yards; cost $485,000 / $680,000	ESA §6.1, §6.3; App. §8, §6.1; CM §8.2	Conflict; flagged (B-4)
44	UST: 2,000-gal diesel, ~1972–1998 vs. 1950s heating oil, out of use 1988	ESA §§2.2, 5; App. §8	Conflict; flagged (B-4)
45	Phase I ESA shelf life to April 26, 2025; consultant liability capped ~$12,500	ESA §9, §11	Calendared (B-3, C-4)
46	Demolition August 2024; remediation September 2024; site rough-graded	App. §2; ESA §§2.1, 6.1; TS §2	Pre-closing work → lien relation-back (C-1)
47	Original deed from Foster Street Properties LLC dated June 12, 2023 (Books 7598, Pages 443 and 445)	TC Sched. A	Conflicts with Org §1.3 / ESA 2022 / App. “early 2024” (E-2)
48	Four prior projects totalling ~$128 million	CM §2.1; App. §3	Unit count conflict: 580 (CM) vs 356 (App.) (E-1)
49	Borrower formed March 14, 2019; NC SOS File No. 1923847; office at 400 W. Main St., Suite 310	TS §1.2; CM §2.1; Org §1.1	Consistent; adopted
50	Lender address 215 S. Tryon St., 18th Floor	TS §1.1; App. cover; CM	Conflicts with ESA (“200 South Tryon”) (E-4)
51	Equity escrow $2,140,000; non-consolidation opinion; independent manager; reserve testing	CM §10.1	Adopted; beyond Term Sheet (§4.F)
52	Extension conditions (no default, completion, 75% occupancy, 1.15x, 0.25% fee, cap, appraisal ≤70% LTV)	CM §11(a)–(j)	Adopted (Ex. F)
53	HVCRE: contributed capital 14.2%; $580,000 short of 15%	CM §12	Adopted subject to A-2/A-6
54	Expense deposit $75,000; acceptance deadline Jan. 17, 2025; exclusivity to March 11, 2025	TS §§22–23	Adopted (§26.3 credit; §4.F leverage)
55	GMP $34,750,000 with Graystone; license 78442; architect Meridian Design Collective; substantial completion Aug. 31, 2027	TS §2; CM §3.1; App. §3	Adopted; maturity precedes completion by 3 days (D-4 note)
56	10% retainage release conditions (CO, lien	CM §7.2	Adopted and expanded

ID	Proposition / figure	Source and location	Disposition
	waivers, architect certificate, N.C.G.S. ch. 44A period)		(§9.3(b))

APPENDIX B — INDEPENDENT RECOMPUTATIONS

All amounts recomputed from the sources; methodology stated in each table.

Table B-1 — Interest Reserve Requirement at Current Rates

Projected interest accruing during the 30-month Construction Period, using the outstanding balances produced by the Draw Schedule (Exhibit C) and an all-in rate of 7.60% (Daily Simple SOFR of 4.35% plus the 3.25% construction spread), computed monthly on the basis of one-twelfth of the annual rate.

Period	Outstanding balance	Months	Interest
Months 1–3 (after Draw 1)	$9,475,000	3	$180,025
Months 4–8 (after Draw 2)	$14,687,500	5	$465,104
Months 9–13 (after Draw 3)	$21,637,500	5	$685,188
Months 14–17 (after Draw 4)	$28,587,500	4	$724,217
Months 18–20 (after Draw 5)	$33,800,000	3	$642,200
Months 21–24 (after Draw 6)	$37,275,000	4	$944,300
Months 25–29 (after Draw 7)	$40,750,000	5	$1,290,417
Month 30 (after Draw 8)	$44,225,000	1	$280,092
Total projected interest		**30**	**$5,211,542**
Interest Reserve funded at closing			$4,850,000
Shortfall			**($361,542)**
Time-weighted average balance			$27,429,167

Sensitivity:

Assumed SOFR	All-in rate	Projected interest	Surplus / (shortfall)
3.50% (Borrower’s workbook assumption)	6.75%	$4,628,672	$221,328
4.00%	7.25%	$4,971,536	($121,536)
4.35% (current, per Credit Memorandum)	**7.60%**	**$5,211,542**	**($361,542)**
4.75%	8.00%	$5,485,833	($635,833)
5.25%	8.50%	$5,828,698	($978,698)

The Credit Memorandum's $565,000 shortfall assumes a $28,500,000 average balance and 30 months; the actual time-weighted average balance on this draw schedule is $27,429,167, and the correct shortfall at current rates is approximately $362,000.

Table B-2 — Combined Debt Service Coverage

Item	Amount	Coverage
Stabilized NOI	$4,876,800	—
Senior interest-only debt service at 7.85% on $47,500,000	($3,728,750)	1.308x
Mezzanine interest at 12.50% on $9,200,000 (cash pay, no PIK)	($1,150,000)	—
Combined	**($4,878,750)**	**0.999x**
Mezzanine interest on PIK-accrued balance at construction maturity (simple, $12,075,000)	($1,509,375)	—
Combined	**($5,238,125)**	**0.931x**
Mezzanine interest on PIK-accrued balance (monthly compounding, $12,554,600)	($1,569,325)	—
Combined	**($5,298,075)**	**0.920x**

PIK balances: $9,200,000 × (1 + 0.125 × 2.5) = $12,075,000 (simple); $9,200,000 × (1 + 0.125/12)^30 = $12,554,600 (compounded).

Table B-3 — Draw Schedule Reconciliation (Exhibit C)

Draw	Gross hard costs	Retainage (10%)	Net hard costs	Other components	Total advance	Cumulative
1	$0	$0	$0	$9,475,000	$9,475,000	$9,475,000
2	$5,212,500	$521,250	$4,691,250	$0	$4,691,250	$14,166,250
3	$6,950,000	$695,000	$6,255,000	$0	$6,255,000	$20,421,250
4	$6,950,000	$695,000	$6,255,000	$0	$6,255,000	$26,676,250
5	$5,212,500	$521,250	$4,691,250	$0	$4,691,250	$31,367,500
6	$3,475,000	$347,500	$3,127,500	$300,000	$3,427,500	$34,795,000
7	$3,475,000	$347,500	$3,127,500	$900,000	$4,027,500	$38,822,500
8	$3,475,000	$347,500	$3,127,500	$1,000,000	$4,127,500	$42,950,000
9	$0	($3,475,000) release	$3,475,000	$1,075,000	$4,550,000	$47,500,000
Total	**$34,750,000**	**$3,475,000 held / released**	**$31,275,000**	**$11,275,000**	**$47,500,000**	

Other components total $11,275,000 = soft costs $4,150,000 + interest reserve $4,850,000 + origination fee $475,000 + Developer Fee $1,835,000 + contingency $1,440,000. Hard cost disbursements (net $31,275,000 plus retainage released $3,475,000) equal the $34,750,000 GMP exactly.

Term Sheet version (for comparison): Draws 2–8 total $34,750,000 (100% of the GMP, with no holdback), and Draw 9 is $3,275,000 — which is 9.42% of hard costs, not 10%. The Borrower's workbook hard-cost column totals $38,225,000 (110% of the GMP), its Developer Fee column totals $923,750 (32.6% of the $2,835,000 budget) and its Contingency column totals $3,351,250 (233% of the $1,440,000 budget).

Table B-4 — Environmental Unit-Loss Impact

Step	Computation	Result
Revenue loss	14 units × $2,245 × 12	$377,160
Loss net of the 5.0% vacancy and credit allowance	$377,160 × 0.95	$358,302
Adjusted NOI	$4,876,800 − $358,302	$4,517,814
Senior DSCR	$4,517,814 ÷ $3,728,750	1.212x (below the 1.25x covenant)
Value impact at the appraiser's 6.40% cap rate	$358,302 ÷ 0.0640	($5,598,469)
Adjusted as-completed value	$72,800,000 − $5,598,469	$67,201,531
As-completed LTV	$47,500,000 ÷ $67,201,531	**70.68%**
Adjusted as-stabilized value / LTV	$76,200,000 − $5,598,469 = $70,601,531	$47,500,000 ÷ $70,601,531 = **67.28%**

The Credit Memorandum (CM §9.5) does not include the vacancy offset (producing NOI of $4,499,640 rather than $4,517,814) and does not compute the value or LTV consequence. Either way the covenant is breached on both the 65% Term Sheet limit and the 70% policy guideline.

Table B-5 — Impact of the Brightleaf Historic District Association Assessment

Step	Computation	Result
Annual assessment	287,500 sf × $0.12/sf	$34,500
Adjusted NOI	$4,876,800 − $34,500	$4,841,616
Senior DSCR	÷ $3,728,750	1.298x
Capitalized value impact at 6.40%	$34,500 ÷ 0.0640	($539,063)

The Appraisal's operating expense schedule (App. §7) contains no association assessment line.

Table B-6 — Loan Structure Alternatives After Reconciling the Prior Deed of Trust

Structure	Total Project Costs	Senior Loan	Mezzanine	Required Equity	LTC	LTV (as-completed)	HVCRE contributed capital
As approved (TS/CM)	$56,700,000	$47,500,000	$9,200,000	$2,140,000 (per CM)	83.77% *(fails 80%)*	65.25% *(fails 65%)*	$10,340,000 = 14.2% (HVCRE)
Recommended: payoff added to costs; Loan reduced to cure LTV	**$60,100,000**	**$47,320,000**	**$9,200,000**	**$3,580,000**	**78.74%**	**65.00%**	**$11,600,000 = 15.93%**
Payoff added to costs; Loan unchanged	$60,100,000	$47,500,000	$9,200,000	$3,400,000	79.03%	65.25% *(fails 65%)*	$11,600,000 = 15.93%
Loan reduced to 80% LTC, payoff omitted	$56,700,000	$45,360,000	$9,200,000	$2,140,000	80.00%	62.31%	$10,340,000 = 14.2% (HVCRE)

The HVCRE contributed-capital percentages assume the land may be credited at $8,200,000 (see A-2 and A-6) and equal (land + required equity) ÷ $72,800,000. The recommended structure cures the LTC breach, the LTV breach and (subject to the rule's conditions) the HVCRE classification in a single step, at the cost of requiring $3,580,000 of verified third-party equity.

Table B-7 — Unit-Count Reconciliation of Prior Projects

Project	Location	Units (App. §3)	Completion (App. §3)
The Edison at West Village	Durham	84	2019
The Meridian on Glenwood	Raleigh	116	2020
Harborview Lofts	Chapel Hill	64	2021
The Apex at Chatham	Cary	92	2023
Total		**356**	
Credit Memorandum §2.1		580	
Variance		**224 units (63% overstated)**	

Both documents cite aggregate development costs of approximately $128 million for the same four projects, which is inconsistent with a 63% unit variance and suggests one of the two unit figures was transcribed in error.

APPENDIX C — SOURCE DOCUMENT CONTROL NUMBERS

Document	Identifier	Date
Term Sheet	Bank Internal Loan No. CRE-2025-0342	January 10, 2025
Credit Memorandum	Loan No. CRE-2025-0342	January 22, 2025
Appraisal	Ridgeline File No. RAS-2024-1147	Value date November 15, 2024
Title Commitment	Commitment No. NC-2024-88712	Effective December 5, 2024
Phase I ESA	Sentinel Project No. SEC-2024-1147	October 28, 2024
Phase II ESA	Sentinel Project No. SEC-2024-1089	August 2024
NFA Letter	Site ID IHSB-24-1203 / Incident No. NONUST-24-0847	September 30, 2024
Borrower	NC Secretary of State File No. 1923847	Formed March 14, 2019
Brightleaf Investors Group LLC	NC SOS File No. 2045612	—
Brightleaf Mezzanine Capital LLC	NC SOS File No. 2103988	—
Budget and draw schedule workbook	Prepared by Harborview Capital Partners LLC	January 8, 2025
Land deeds	Book 7598, Pages 443 and 445, Durham County Registry	June 12, 2023
Prior deed of trust	Book 6215, Page 892, Durham County Registry	September 14, 2018
Duke Energy easement	Book 4387, Page 621, Durham County Registry	March 22, 1997
Stormwater easement	Book 7421, Page 212, Durham County Registry	April 8, 2022
CC&Rs (and First Amendment)	Book 6984, Page 1155; Book 7102, Page 388	November 3, 2014; June 19, 2017